BLUEGRASS CAPITAL RESEARCH

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Energy | *Oil & Gas Integrated*
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Cenovus Energy Inc.

Strike While the Oil is Hot

Cenovus Energy has faced pressure alongside broader volatility in global crude markets and investor concerns surrounding economic uncertainty and oil demand. However, the company's resilient oil sands operations, integrated downstream business, and disciplined expansion strategy position it to benefit from rising geopolitical instability and tightening long-term global supply dynamics. Considering the transformative MEG Energy acquisition, long-life reserves, and other major growth projects, Cenovus features a compelling combination of production visibility and free cash flow generation. We believe the market is undervaluing the company's ability to capitalize on structurally higher energy volatility and durable demand for secure North American crude supply. **Initiate with a BUY rating and a one-year PT of $38.60.**

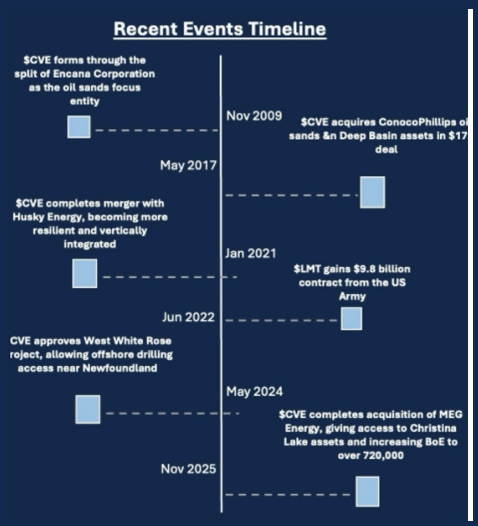
Thesis Point 1 Geopolitical tensions have made crude oil markets increasingly volatile. Amid current conflicts involving Iran, investors should be and are placing greater value on stable, politically secure energy producers like Cenovus Energy. Over the past five years, Cenovus has proven a clear ability to navigate and capitalize on these shocks, most notably during the 2022 energy crisis when elevated oil prices drove significant increases in revenue and profitability. This influx in profit was driven by the ramifications of the Russo-Ukrainian War, which many experts believe to less significant than potentially elevating shocks in the Strait of Hormuz. Upside is amplified by the company's low-cost oil sands operations and vertically integrated business model, which allow it to expand margins during price spikes while maintaining resilience during downturns. Simultaneously, trends in global supply are revealing a "Shale Plateau," which will disproportionately affect American producers and turn investors to long-life, low-decline assets like Canadian oil sands, where Cenovus holds a strong competitive position. With break-even costs now competitive with or lower than shale, these assets are attracting renewed investment as producers seek more reliable sources. The company's integrated downstream operations enable it to capture value across the supply chain, enhancing profitability beyond upstream production alone. This structural resilience position Cenovus as both a cyclical beneficiary of rising oil prices and a structural winner in an increasingly fragmented and supply-constrained global energy market.

Thesis Point 2 Cenovus's expansion strategy is poised to fully embrace an increase in global demand due to the large-scale acquisition of MEG Energy in 2025 and outlined capital projects. In 2024, Cenovus announced its acquisition of MEG Energy in a transaction valued at approximately $6 billion. This acquisition adds 110,000 barrels per day of production capacity and significantly expands its oil sands footprint with long-life reserves. Cenovus's acquisition stays on target of reaching approximately 950,000 barrels of oil equivalent per day by 2028, while contributing to a combined reserve life of nearly 29 years, providing an industry rarity in long-term production visibility. Over in Newfoundland and Labrador, the West White Rose Project is under development. This is an offshore development expected to come online around Q4 of 2026 with total project costs near $3.2 billion and peak production capacity of approximately 75,000 barrels per day. Expansions are funded through a combination of free cash flow and manageable leverage to avoid the high debt burdens that historically plagued oil producers during expansion cycles. Additionally, Cenovus applies strict return thresholds to new investments, which ensures the profitability of projects even at conservative oil price assumptions (often in the $40–$50 per barrel range).

Company Overview Headquartered in Calgary, Alberta, Cenovus (NYSE: CVE) develops, produces, refines, transports, and markets crude oil, natural gas, and refined petroleum products with a key value emphasis on safety, cost-efficiency, and sustainability. Founded in 2009 and significantly expanded through a 2021 merger with Husky Energy, Cenovus runs resiliently across the full energy value chain. The company strategically distributes operations across Canada, the United States, and the Asia Pacific region. These operations include oil sands projects in northern Alberta, thermal and conventional crude oil and natural gas projects across Western Canada, crude oil production offshore Newfoundland and Labrador, and natural gas productions offshore China and Indonesia. Cenovus's downstream operations include upgrading, refining, and marketing operations in Canada and the United States. Under the leadership of CEO Jon McKenzie since 2023, Cenovus acquired MEG Energy in Q4 of 2025, a move that McKenzie believes "will have an immediate positive impact on Cenovus.

TICKER:	**$CVE**
RATING:	**BUY**
PRICE:	**$25.70**
PRICE TARGET:	**$38.60**
MARKET CAP:	**$51.28b**
52-W RANGE:	**$10.23-$27.65**
NTM P/E:	**17.0x**
IMPLIED UPSIDE:	**50%**







Risk 1 As is the case with many fossil fuel producers, a key risk facing Cenovus Energy is the tightening Canadian regulatory environment targeting emissions from oil sands producers. Legislation such as the Greenhouse Gas Pollution Pricing Act continues to raise carbon costs through 2030, which will directly increase operating expenses for high-emission assets. Additionally, new methane regulations targeting a 75% reduction by 2035 further add compliance costs and operational complexity. These policies, as well as a general "green-oriented" attitude toward energy introduce both financial pressure and long-term uncertainty and can potentially limit Cenovus's ability to expand production and reduce its competitive position relative to less-regulated producers.

Risk 2 Conversely with respect to a previous thesis point, Cenovus remains highly exposed to fluctuations in global crude oil prices, which also can fall drastically contingent upon upcoming peace negotiations and ceasefires. A decrease in barrel prices to a range of $50-$60 could compress margins and reduce cash flow, particularly given the capital-intensive nature of oil sands operations. Although Cenovus mitigates some of this risk through its integrated downstream refining segment, prolonged low-price environments would still pressure profitability and shareholder returns. However, the mere necessity of lengthy conflict and negotiations is likely to bring global consumers to the stability of Canadian suppliers.

Catalysts A powerfully related catalyst is the continued improvement in export capacity out of Canada, particularly through expanded pipeline infrastructure such as the Trans Mountain Pipeline. Historically, Canadian heavy crude (Western Canadian Select) has traded at a significant discount to global benchmarks due to transportation bottlenecks and limited access to international markets. As new capacity enables greater access to Pacific export terminals, Canadian producers can increasingly reach Asian markets, including China, which is still one of the world's largest and most consistent sources of incremental oil demand. This is in tandem with Chinese strategy of diversifying crude imports away from geopolitically volatile suppliers such as Russia and the Middle East. As a result, increased access to global buyers not only narrows the Western Canadian Select discount but also reduces reliance on U.S. markets, giving higher pricing power and demand resilience for Canadian producers.

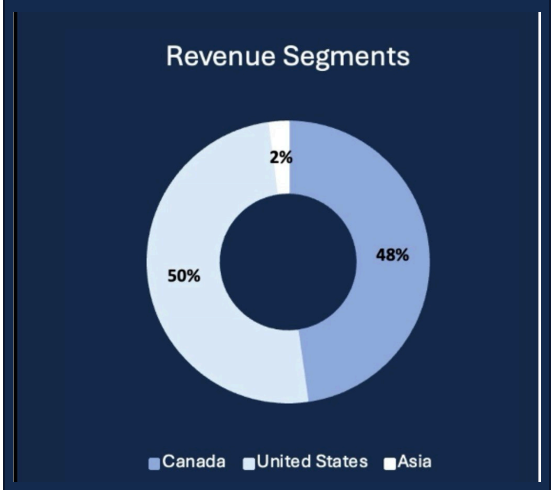
Valuation

DCF Analysis ($mm)	FY2020 12/31/20	FY2021 12/31/21	FY2022 12/31/22	FY2023 12/31/23	FY2024 12/31/24	FY2026 12/31/2026	FY2027 12/31/27	FY2028 12/30/28	FY2029 12/30/29	FY2030 12/30/30
Revenue	36,632	49,428	39,530	37,723	36,245	48,100	55,371	62,356	68,648	73,831
Revenue Growth	*0%*	*35%*	*-20%*	*-5%*	*-4%*	*33%*	*15%*	*13%*	*10%*	*8%*
Canada	18,782	24,615	19,027	18,620	17,350	26,000	30,420	34,679	38,493	41,573
United States	16,852	23,807	19,644	18,302	18,157	21,000	23,730	26,340	28,711	30,721
Asia	998	1,006	858	801	738	1,100	1,221	1,337	1,444	1,538
EBIT	3,376	6,580	4,044	3,321	3,224	6,400	5,537	6,236	6,865	7,383
EBIT Margin	*9%*	*13%*	*10%*	*9%*	*9%*	*13%*	*10%*	*10%*	*10%*	*10%*
Tax Expense	575	1,685	705	646	399	430	997	1,122	1,236	1,329
Effective Tax Rate	*17%*	*26%*	*17%*	*19%*	*12%*	*7%*	*18%*	*18%*	*18%*	*18%*
NOPAT	2,800.50	4,895.01	3,339.32	2,675.07	2,825.06	5,970.00	4,540.42	5,113.20	5,629.16	6,054.18
D&A	3,273.8	3,316.8	3,683.1	3,541.7	3,964	3,600	1,107	1,185	1,236	1,255
Capex	(2,025.3)	(2,739.7)	(3,254.5)	(3,485.4)	(3,578.8)	3,200	1,661	2,027	2,403	2,769
Changes in NWC	1,277.8	(1,369.1)	1,091.1	(727.0)	366.1	(400)	1,107	1,169	1,201	1,200
UFCF	2,772	4,103	2,677	2,004	2,844	6,770	2,879	3,102	3,261	3,341
PV of FCF						0	2,850	2,896	2,870	2,773

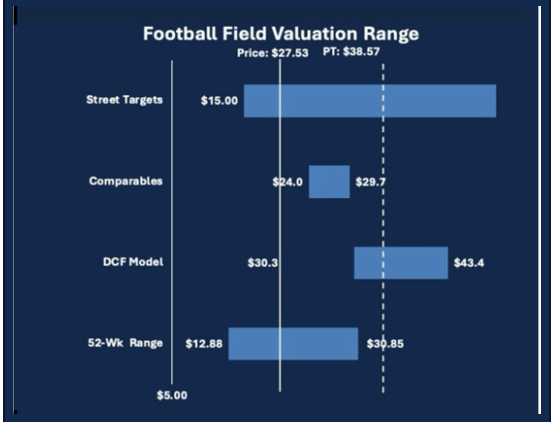
Our base case DCF projection for Cenovus Energy assumes growth is primarily driven by existing expansion projects and the integration of MEG Energy. The model projects revenue growth from approximately $36.2 billion in FY2024 to $73.8 billion by FY2030, which yields a revenue CAGR of roughly 12.6% while EBIT margins remain relatively stable near 10% throughout the forecast period. These assumptions reflect Cenovus's long-life reserve base, low-decline oil sands assets, vertically integrated business model, and increasing production visibility through many projects. Based on these assumptions, our DCF implies a one-year price target of $38.60.

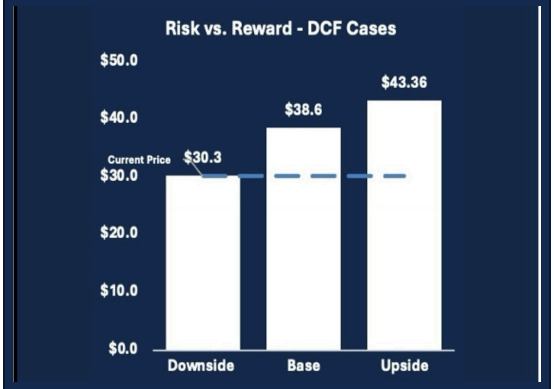
Conclusion

In Cenovus Energy, investors can own a resilient, low-cost energy producer uniquely positioned to benefit from both cyclical oil price upside and long-term structural shifts in global energy markets. The company's long-life oil sands reserves and integrated downstream operations provide durability across commodity cycles, and geopolitical instability continues to increase the strategic value of secure North American energy supply. As global supply constraints increasingly favor low-decline, politically secure assets, Cenovus stands out as a structural winner in an increasingly fragmented energy landscape. **We initiate CVE with a BUY rating and a one-year price target of $38.60: approximately 50% upside from current levels.**



Terminal Value	
Growth	2.50%
Terminal Value	$94,124
PV of Terminal Value	$73,682
PV of Projection Period	$13,999
PV of Terminal Value	$73,682
Implied TEV	$87,681
(-) Debt	$10,362
(+) Cash	$1,998
Implied Equity Value	$79,318
Basic Shares Outstanding	187
Implied Share Price	$42.30
Upside/Downside	47.05%





Bluegrass Capital Research

Income Statement ($mm)	2025A	2026E	2027E	2028E	2029E	CAGR%
Revenue	36,245	48,100	55,371	62,356	68,648	17.3%
EBITDA	7,188	10,000	6,645	7,420	8,101	3.0%
EBIT	3,224	6,400	5,537	6,236	6,865	20.8%
NOPAT	2,825	5,970	4,540	5,113	5,629	18.8%

Margin & Growth Data	2025A	2026E	2027E	2028E	2029E	AVG%
EBITDA Margin	19.8%	20.8%	12.0%	11.9%	11.8%	15.3%
EBIT Margin	8.9%	13.3%	10.0%	10.0%	10.0%	10.4%
Revenue Growth	-3.9%	32.7%	15.1%	12.6%	10.1%	13.3%
EBIT Growth	-2.9%	98.5%	-13.5%	12.6%	10.1%	21.0%

Valuation Metrics	2025A	2026E	2027E	2028E	2029E	AVG%
P/FCF	16.2x	6.8x	16.0x	14.9x	14.1x	13.6x
EV/Sales	1.5x	1.1x	1.0x	0.9x	0.8x	1.1x
EV/EBITDA	7.6x	5.4x	8.2x	7.3x	6.7x	7.1x
FCF Yield	6.2%	14.7%	6.2%	6.7%	7.1%	8.2%

Comparable Companies

$mm

Ticker	Mkt Cap	EV	P/E LTM	Revenue LTM	EBITDA LTM
Suncor Energy Inc. (TSX:SU)	74,546.6	82,765.8	17.7x	$35,831	$10,925.50
Imperial Oil Limited (TSX:IMO)	59,952.6	62,217.2	26.1x	$34,328	$5,145.20
Canadian Natural Resources Limited (TSX:CN	92,571.7	106,528.0	11.7x	$28,398	$11,598.10
Occidental Petroleum Corporation (NYSE:OX	55,862.2	86,096.2	41.7x	$21,593	$1,255.00
CVE	48,196.8	$56,693	16.2x	$36,408	$6,978

Ticker	LTM EV/EBITDA	Gross Margin	EBITDA Margi	EBIT Margin	1 Yr Rev Growth Rate LF
Suncor Energy Inc. (TSX:SU)	7.6x	59.1%	30.5%	16.5%	12.1%
Imperial Oil Limited (TSX:IMO)	12.1x	17.3%	15.0%	10.3%	7.0%
Canadian Natural Resources Limited (TSX:CN	9.2x	48.5%	40.8%	21.1%	27.9%
Occidental Petroleum Corporation (NYSE:OX	7.7x	69.8%	52.1%	17.2%	10.8%
CVE	8.1x	21.5%	19.2%	8.9%	7.9%
High	12.09x	69.8%	52.1%%	21.1%%	27.9%
75th Percentile	9.18x	59.1%	40.8%	17.2%	12.1%
Average	8.92x	43.2%	31.5%	14.8%	13.1%
Median	8.12x	48.5%	30.5%	16.5%	10.8%
25th Percentile	7.65x	21.5%	19.2%	10.3%	7.9%
Low	7.58x	17.3%	15.0%	8.9%	7.0%

CVE		
Implied Enterprise Value (25th Percentile)	$	53,383
Implied Enterprise Value (Median)	**$**	**56,663**
Implied Enterprise Value (75th Percentile)	$	64,060
Implied Share Price (25th Percentile)	$	24.01
Implied Share Price (Median)	**$**	**25.76**
Implied Share Price (75th Percentile)	$	29.71

Weighted Average Cost of Capital ($mm)	
Market Risk Premium	4.33%
Beta	0.51
Risk Free Rate	4.35%
Cost of Equity	5.36%
Weighted Average Cost of Debt	4.50%
Tax Rate	18.00%
Cost of Debt	0.68%
Total Equity	$46,106
Total Debt	$8,363
Equity/Total Capitalization	81.65%
Debt/Total Capitalization	18.35%
WACC	6.04%

Downside Case: Our downside case assumes weaker global crude demand caused by slower economic growth, lower realized oil prices, and softer refining margins across Cenovus's integrated operations. Under this scenario, Canadian revenue growth moderates from 14.0% in 2026 to 5.0% by 2030, while U.S. and Asia growth slow to 4.5% and 4.7%, respectively. We also assume EBIT margins compress to 9.3% by 2030 as lower commodity prices reduce operating leverage.

Upside Case: Our upside case assumes stronger-than-expected oil prices and successful integration of the MEG Energy acquisition. We project Canadian revenue growth to remain elevated at 18.0% in 2026 and 6.0% by 2030, while U.S. and Asia revenue growth reach 6.0% and 5.0%, respectively, by the end of the forecast period. We also assume EBIT margins expand to 10.5% by 2030 as operational efficiencies and downstream contributions improve profitability.

Disclosures and Ratings: Bluegrass Capital Research does not hold any professional relationships with the securities mentioned in this report. Our ratings are defined as follows: **Buy** (expected to outperform the market), **Hold** (expected to perform in line with the market), and **Sell** (expected to underperform the market), typically over a 12-month horizon. This report is for educational and informational purposes only and should not be considered as financial advice.